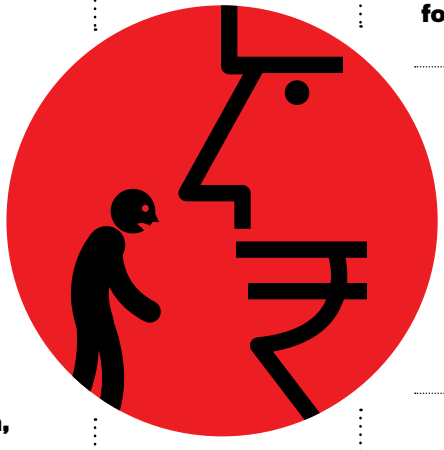
KEY TAKEAWAYS

- Just 1% of Indians hold a 22.6% share of the country's income and 40% of its wealth
- India's top 1% income share is among the highest in the world
- Inequality declined post-Independence till the early 1980s. It has skyrocketed since the early 2000s
- The top 1% earned Rs 53 lakh a year on average in FY23–23 times the average Indian, who earned Rs 2.3 lakh
- The richest 9,223 individuals (of 920 million Indian adults) earned Rs 48 crore on average (2,069 times the average Indian's income)
- Rise in private enterprise post-liberalisation and the growth of the capital markets led to increased wealth in the hands of the top few
- The shares of the bottom 50% and middle 40% have remained depressed primarily due to the lack of quality education for the masses
- India has been unable to pull more of its workforce away from agriculture towards more better-paying jobs
- The income tax code needs to be restructured to account for income and wealth
- A 2% "super tax" on the net wealth of the 167 wealthiest families in FY23 would yield 0.5% of national income
- Broad-based public investments in health, education and nutrition are needed to enable the average Indian to benefit from the ongoing wave of globalisation



much as 23 times the average Indian, who earned Rs 2.3 lakh annually. Average annual incomes for the bottom 50 per cent and the middle 40 per cent stood at Rs 71,000 (0.3 times the national average) and Rs 1.65 lakh (0.7 times the national average), respectively. The richest 9,223 individuals (of 920 million Indian adults) earned an average of Rs 48 crore a year, or 2,069 times the average Indian's income.

THE FINDINGS HAVE REITERATED WHAT SEVERAL ECONOMISTS HAVE BEEN POINTING TO: THE STARK AND WIDENING WEALTH DIVIDE AMONG INDIANS, WITH THE PANDEMIC MAKING THINGS WORSE

At the turn of the 21st century, in FY2002, the top 10 per cent wealth shares stood at 57.1 per cent while the top 10 per cent income share was 42.1 per cent, a gap of 15 percentage points. Over the next 20 years, the top 10 per cent income shares rose faster and the gap reduced considerably, effectively halving to 7.3 per cent by FY2022. However, when it comes to comparing the top 1 per cent income and wealth shares over the same period, the trend is the exact opposite. In FY2002, the top 1 per cent wealth share was 25.4 per cent, compared to 16.7 per cent for incomes, a gap of 8.7 percentage points. Twenty years later, by FY22, the gap grew to 13.4 percentage points. 'These opposing trends suggest that wealth concentration is accelerating relatively faster than incomes at the very top of the distribution,' according to the paper, authored by Nitin Kumar Bharti, Lucas Chancel, Thomas Piketty and Anmol Somanchi.

Economists have for long been pointing out the widening wealth divide among Indians, with the pandemic worsening things. The new findings have given credence to the theory of the country's K-shaped growth—the rich growing rapidly and consuming more and more premium goods compared to the poor. The increase in private enterprise post-liberalisation and the growth of capital markets have contributed to this increased wealth in the hands of the top few. The paper concurs, saying that public and private sector wage growth could have played a part till the late '90s, adding there are good reasons to believe capital incomes likely played a role in subsequent years. For the shares of the bottom 50 per cent and middle 40 per cent remaining depressed, the paper said, the primary reason has been the lack of quality, broad-based education, focused on the masses, not just the elites.